

MORNING BRIEFING

Wednesday, 12 August 2026 | Generated ~06:30 London time (BST) | Pre-European-open

Dominant backdrop: US-Iran Strait of Hormuz standoff (oil, gas, shipping risk) and today's US July CPI print at 13:30 London.

1. HEADER

Report date: Wednesday, 12 August 2026. Generation window: pre-European-open, London timezone (BST, UTC+1). All times below are London time unless stated otherwise.

2. IMPORTANT NEWS

1. US-Iran Hormuz talks hit an impasse; Trump demands war reparations — Al Jazeera, CNBC, Bloomberg, Euronews (10-11 Aug)

Why it matters: Strait of Hormuz transits remain near zero (~1/5 of global oil/LNG supply route); the dominant driver of oil, shipping and inflation-risk pricing this week.

2. Wall Street closed lower Tuesday as oil-driven inflation fears weighed; energy surged, tech lagged — Washington Post, Yahoo Finance (11 Aug)

Why it matters: S&P 500 -0.24%, Nasdaq -0.55%; energy up as much as +4.6% while Alphabet sank -3.6%. Sets a cautious tone into Europe's open.

3. US July CPI due today at 13:30 London — the session's key catalyst — BLS, Kiplinger, CNBC

Why it matters: consensus headline +0.1% m/m / 3.4% y/y, core +0.2% m/m / 2.5% y/y. The Fed held rates in July with three dissents favouring a hike — a hot print revives September hike risk.

4. Intel fell 4-5% on a proposed \$15bn share offering; AI "circular financing" jitters weigh on chips — Yahoo Finance, 247wallst

Why it matters: renews the AI-capex valuation debate weighing on the broader tech/growth complex ahead of Nvidia's 26 August earnings.

5. European Q2 earnings season running hot; Stoxx 600 near record highs (660.51) despite Hormuz risk — Reuters, RTE, Yahoo Finance

Why it matters: Stoxx 600 companies tracking >22% y/y Q2 earnings growth, sharpest since Q2 2022, offsetting geopolitical energy-supply anxiety.

3. EUROPEAN FUTURES (PRE-OPEN)

INSTRUMENT	LEVEL	EXPECTED MOVE	NOTES
Euro Stoxx 50 futures	~6,326	Near flatline	Close to record highs
DAX futures	~26,379	~-0.02%	Essentially flat
CAC 40 futures	n/a	n/a	No reliable pre-open futures print found; see cash close \$4
FTSE 100 futures	n/a	n/a	No reliable pre-open futures print found; see cash close \$4
Stoxx 600 futures	Near flatline	Flat	Close to record highs after strong gains last week
S&P 500 futures (US, context)	\$774.48 (SPY proxy)	+0.19%	Benzinga premarket
Nasdaq 100 futures (US, context)	\$723.71 (QQQ proxy)	+0.39%	Benzinga premarket

Collection time: ~06:00-06:30 London. Sources: Trading Economics, Barchart/TradingView, Reuters-sourced summaries, Benzinga (via web search).

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (11 AUGUST 2026)

INDEX	CLOSE	CHANGE
DAX	26,391.42	+0.26%
CAC 40	~8,705-8,720	-0.07% to -0.11%
FTSE 100	10,844.19	-0.17%
Euro Stoxx 50	n/a (exact points)	~flat
Stoxx 600 (context)	660.51	Flat, near record high

European shares ended little changed, hovering near record highs — earnings-season optimism offset by Strait of Hormuz energy-supply uncertainty. Sources: Trading Economics, Investing.com, Reuters/Yahoo Finance.

5. US MARKETS — YESTERDAY'S SESSION (11 AUGUST 2026)

INDEX	CLOSE	CHANGE
S&P 500	7,734.77	-0.24%
Dow Jones	53,889.24	-0.16%
Nasdaq Composite	26,459.35	-0.55%

Tone: Risk-off/cautious. "Dow, S&P 500, Nasdaq slip amid US-Iran impasse, Alphabet stock sinks" — Yahoo Finance.

Leading sector: Energy, up sharply (cited +1.1% to +4.6% across sources) as oil rose on Hormuz risk.

Lagging sectors: Information Technology and Communication Services (Alphabet -3.61% on capex/AI-spend concerns), with Real Estate and Utilities also cited as soft.

Key takeaway: Intensifying US-Iran standoff over Hormuz reopening and reparations demands pressured sentiment ahead of today's CPI print.

Note: an earlier search briefly surfaced different index levels (7,753.11 / 53,975.98 / 26,605.36) that cross-referencing suggests belong to Monday 10 Aug's close rather than Tuesday's — the figures above are the ones consistently tied to "Tuesday 8/11" reporting. Sources: Washington Post, Yahoo Finance.

6. ASIAN MARKETS — OVERNIGHT SESSION (11-12 AUGUST 2026)

INDEX	LEVEL	CHANGE
Nikkei 225	~67,415	+0.66% (medium confidence)
Hang Seng	n/a — conflicting reads	-1.1% to +1.1%, direction unconfirmed
Shanghai Composite	~3,934 (Aug 11 close)	-0.32% to -0.83% (Aug 11); Aug 12 close n/a
Kospi	Intraday 6,488.33; close n/a	+2.25% intraday

Tone: Mixed-to-cautiously positive in Japan and Korea (semiconductor-led rally), soft/uncertain in Hong Kong and China.

Drivers: Samsung Electronics and SK Hynix both cited up 4-7% intraday on a chip rally pulling Kospi higher; Reuters Tankan showed Japanese manufacturer sentiment improving (+18 vs +13 prior). Region-wide focus on today's US CPI print and the ongoing Iran/Hormuz standoff.

Hang Seng direction is a genuine conflict between sources and should be treated as unverified. Kospi and Shanghai Aug 12 closing prints not reliably found. Sources: India TV News/PTI-Reuters wire, Trading Economics, CNBC Asia summaries.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	CONTEXT
Brent crude	~\$87.78-89.24/bbl	+1.7% (one source)	Hormuz risk premium; +7% over past month
WTI crude	~\$82-84/bbl	Range across sources	Tracking Brent higher on Hormuz standoff
Gold (spot)	~\$4,350-4,400/oz	Near 2-month high	Fed rate-cut hopes after weak July payrolls (-23k)
Natural gas (Henry Hub)	\$2.77/MMBtu	+0.21%	Firmer LNG export demand
Natural gas (EU TTF)	~€54-60/MWh (low confidence)	Sources disagree	Intraday gain cited ~+3.7% by one source
Copper	\$6.63/lb	Up 2nd straight session	+49.1% YoY, ~3.6% below all-time high; tightening supply

Sources partially disagreed on exact levels (e.g. Brent \$87.78 vs \$89.24, TTF €54 vs ~€60) — both reads shown rather than picking one arbitrarily. No direct terminal access; figures via web-search aggregator snapshots (Trading Economics, Investing.com, Forbes Advisor, Kitco).

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE
US 10Y Treasury yield	4.70%	Highest so far this month (as of Aug 10-11)
German 10Y Bund yield	3.14%-3.18%	Third straight session of gains
EUR/USD	1.1541	Weekly range 1.1516-1.1573
GBP/USD	1.3324	vs prior close 1.3314
DXY (US Dollar Index)	99.84-99.85	+0.18% past 24h (one read)

No confirmed Aug 12 pre-London-open print found for US 10Y, EUR/USD, or Brent specifically — most recent available (Aug 10-11 close) reported instead. Dollar steady ahead of today's CPI print. Sources: Forbes Advisor, CNBC, Trading Economics, Investing.com.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (PRICED 11 AUGUST 2026)

No EUR corporate IG, HY, SSA or financials deals confirmed priced. Consistent with the seasonal August lull — trade press explicitly frames August as quiet, with SSA supply expected to resume "extremely busy" from 17 August.

PIPELINE / EXPECTED TODAY & THIS WEEK

No issuer-specific mandates identified for this week. Structural pipeline: SSA market bracing for a busy reopening from 17 August. EU targeting ~€80bn of long-term EU-Bond issuance July-December 2026 via four syndications and six auctions in H2. Q3 2026 euro maturities €215bn, down >€80bn vs Q2 — a technical tailwind once the window reopens. Broader market view: the bulk of H2 corporate issuance is expected to begin in September rather than August.

KEY SPREADS

INDEX	LEVEL	MOVE
iTraxx Main (5Y)	n/a	Live quote source unavailable this session
iTraxx Crossover (5Y)	n/a for today	Last dated reference: ~318bp mid-May 2026 (historical only)
CDX IG	n/a	No dated Aug 2026 figure found
Avg euro corporate IG spread	n/a	No same-day figure found

COMMENTARY

The EUR primary window is effectively shut through 11-12 August, consistent with normal seasonal patterns and reinforced this year by the Hormuz-driven risk overhang, which is capping any temptation to open early even as European equities stay resilient (Stoxx 600 near record highs). Bund yields have drifted higher for three straight sessions, a mild technical headwind for issuance economics once the window reopens — expect the real restart to be SSA-led from 17 August, with the broader corporate (industrials, transport, energy, financials) wave more September-weighted.

Several primary DCM sources (GlobalCapital, FRED, Convex, MarketScreener) were not directly accessible this session; figures above reflect web-search snippet corroboration only.

10. ECONOMIC CALENDAR

TIME (LONDON)	REGION	INDICATOR	CONSENSUS	IMPORTANCE
13:30	US	CPI — July	Headline +0.1% m/m / 3.4% y/y; Core +0.2% m/m / 2.5% y/y	HIGH
~12:00	US	MBA Mortgage Applications (weekly)	n/a	LOW/ MEDIUM
13:30	Canada	Building Permits — June	n/a	LOW
~15:30	US	EIA Weekly Petroleum Status Report	n/a — watched closely given Hormuz tensions	MEDIUM
17:45	US	Fed's Bowman speaks (CEO & Senior Management Summit)	n/a	MEDIUM
19:00	US	Treasury Statement — July	n/a	MEDIUM

No high-importance Eurozone or UK macro releases confirmed for today. UK GDP/industrial production/trade balance fall Thu 13 Aug; Eurozone industrial production Thu 13 Aug; Eurozone GDP Fri 14 Aug. Asia calendar described as "nearly empty" today. Sources: BLS, Federal Reserve, Scotiabank calendar, ONS, ZEW, Investing.com.

11. CORPORATE EVENTS & EARNINGS

TIMING	COMPANY	EVENT	NOTES
~21:30 London (after US close)	Cisco Systems	Q4 FY2026 earnings	Consensus EPS ~\$1.17; revenue ~\$16.83bn; AI infrastructure order book raised to \$9bn from \$5bn
After HK close	Tencent Holdings	Q2 2026 results	n/a further detail
~22:00 London	Cerebras Systems	Q2 2026 results	n/a further detail

No confirmed major FTSE 100 / European blue-chip reporters found for today specifically — UK/European H1 season had largely front-loaded into late July/early August (L&G 5 Aug, Munich Re 7 Aug, Deutsche Telekom 6 Aug, Marshalls 10 Aug). Treat as provisional rather than exhaustive; primary calendar sources were partly inaccessible this session. Sources: Cisco IR, IG, StockTitan.

12. STOCKS TO WATCH

COMPANY	SECTOR	REASON	DIRECTION
BP / Shell	Energy	FTSE leaders as Brent nears high-\$80s on Hormuz risk; BP ~534p	UP
TotalEnergies	Energy	Q2 net income +67% y/y to \$6bn on avg. Brent ~\$103.8/bbl in quarter; shares +2.6% to €76.25	UP
IAG / easyJet	Aviation	Jet fuel — the largest variable cost — rising with crude; only partially hedged (IAG ~58% for Q3)	DOWN
Frontline (tanker/shipping peers)	Shipping	War-risk insurance premiums spiking (3-10% of hull value, up from 0.25% pre-war) as Hormuz transits stay near zero	UP
Rio Tinto / Glencore / Anglo American / Freeport-McMoRan	Metals & Mining	Copper near record (~\$6.70/lb), gold near record (\$4,350-4,400/oz) — sector/commodity-driven, no stock-specific catalyst confirmed	UP (SECTOR)
Intel	Chips/Tech	Fell 4-5% after proposed \$15bn share offering; AI "circular financing" concerns weighing on chip complex	DOWN
Alphabet	Tech	Down 3.6% Tuesday on raised capex guidance, negative FCF, DeepMind leadership churn, French antitrust complaint	DOWN
Rolls-Royce / BAE Systems	Aerospace & Defense	Raised FY guidance on defense demand + AI-datacenter power (Rolls-Royce lifted 2026 op-profit guide to £4.7-4.9bn); momentum follow-through	UP (MOMENTUM)
HSBC / European banks	Banks	HSBC beat Q2 estimates, resumed buybacks (4 Aug); sector in focus into CPI-driven rate-path volatility	UP (MILD)
Varex Imaging / Teledyne Technologies	M&A / Industrials	Teledyne agreed to acquire Varex for \$18.90/share cash (~\$1.1bn), announced 11 Aug; Varex jumped ~48% on the news	UP SHARPLY (VAREX)

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

- Fed held rates at 3.50-3.75% for a fifth straight meeting in July, with three dissents favouring a hike; next FOMC 15-16 September.
- July US jobs report: payrolls -23,000 vs +80,000 expected; unemployment 4.1%; wage growth slowed to 3.2% y/y, weakest since 2021.
- ECB deposit rate at 2.25% since the 17 June hike (first ECB hike in three years); Eurozone flash HICP rose to 2.9% in July as energy inflation jumped to 10.0%; Q2 GDP +0.4% QoQ.
- BoE held Bank Rate at 3.75% at the 30 July meeting; next decision 17 September.

CORPORATE

- M&A wave in early August: Prologis to acquire Segro (~£14bn/\$18.8bn); Curium/Lantheus radiopharma merger (~\$8bn); Prysmian to buy Atkore (~\$3.8bn); Teledyne to acquire Varex Imaging (\$1.1bn, 11 Aug).
- Stoxx 600 companies tracking >22% y/y Q2 earnings growth, sharpest since Q2 2022 (~11.5% ex-energy).
- Nvidia reports FQ2 earnings 26 August — a key AI-capex catalyst, with added scrutiny after reports it agreed to backstop ~\$250bn of OpenAI-linked data-centre debt.

POLITICAL / GEOPOLITICAL

- US-Iran war (since 28 Feb 2026): ceasefire collapsed, US naval blockade reimposed; Trump demanding reparations as a precondition for talks; Iran negotiating only with Oman over Hormuz access.
- US tariffs: additional 50% tariff on Canada effective 19 August (agriculture, dairy, furniture, alcohol); baseline 10% global tariff in place since February; pharma tariffs reportedly signalled toward 200% by late 2026.
- UK politics: Reform UK leads national polling (23%, 2-3 Aug YouGov) ahead of Labour (22%), Conservatives (19%) — a sterling-relevant sentiment backdrop, no election required before Aug 2029.
- France: 2026 budget passed only after surviving two no-confidence votes; deficit target cut to 5% of GDP by end-2026; Germany has criticised France's defense-spending shortfall vs NATO targets.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. **US July CPI (13:30 London)** — the day's dominant catalyst; a hot print revives September Fed-hike risk given three prior dissents.
2. **Strait of Hormuz / Iran-Oman talks** — reports of progress but no resolution; any headline swings oil and European gas sharply.
3. **European Q2 earnings flow continues** — tests whether the >22% Stoxx 600 earnings-growth trend holds near record index highs.
4. **Oil/gas price direction** — Brent near \$89/bbl; a live wire for energy stocks and eurozone inflation expectations.
5. **US-listed Chinese equities weakness** — prior session's ~3% fall; watch for continuation and read-through to European risk appetite.

THIS WEEK'S TOP 5 (11-15 AUGUST)

1. **US CPI (Wed)** — as above.
2. **US PPI (Thu)** — producer prices, another Fed-relevant input ahead of September.
3. **US retail sales (July)** — gauge of consumer resilience amid weak jobs data and tariff pass-through.
4. **UMich consumer sentiment, prelim (Fri)** — includes inflation-expectations components closely watched by the Fed.
5. **Continued heavy European/US earnings season** — dozens of large-cap reports; watch guidance on tariffs and Middle East energy costs.

THIS MONTH'S TOP 5 (AUGUST 2026)

1. **Canada tariff escalation (19 Aug)** — additional 50% US tariff on Canadian goods takes effect.
2. **Eurostat full July inflation release (19 Aug)** — confirms/revises the 2.9% flash HICP figure.
3. **Jackson Hole Symposium (27-29 Aug)** — key venue for Fed forward guidance ahead of the September FOMC.
4. **Nvidia earnings (26 Aug)** — major read on AI capex/demand sustainability.
5. **Iran war trajectory into September** — any ceasefire breakthrough or further escalation before the 15-16 Sept FOMC and 17 Sept BoE meeting will be a dominant swing factor for oil, gas and inflation expectations.

15. KEY TRENDS TO WATCH

1 DAY

- US CPI release at 13:30 London vs. ~3.4% headline / ~2.5% core consensus.
- Any Iran/Strait of Hormuz headline — Oman-mediated talks reportedly advancing.
- Follow-through in Brent crude (~\$89/bbl) and European natural gas.
- European earnings reactions with Stoxx 600 near record highs.

1 WEEK

- US PPI (Thu) and retail sales — further Fed-relevant data before the September FOMC.
- UMich consumer sentiment / inflation expectations (Fri).
- Continued Q2 earnings deluge in Europe and the US.
- Any formal resolution or further breakdown in Iran/Hormuz talks.
- UK political polling trends (Reform UK vs Labour) as a background sterling/gilt sentiment driver.

1 MONTH

- 19 Aug: Canada tariff hike to 50% takes effect.
- 26-29 Aug: Nvidia earnings, then Jackson Hole Symposium — key Fed signalling window.
- 15-16 Sept: FOMC meeting — live debate between hold and hike given three prior dissents.
- 17 Sept: next BoE MPC decision.
- Underlying trend: the interplay of the unresolved Iran war (oil/gas risk, inflation), escalating US tariff actions, and a softening US labour market points toward stagflation-type policy tension for the Fed, ECB and BoE through Q3.

Sources

- Reuters, Bloomberg, Financial Times (via web search)
- BLS, Federal Reserve, ECB, Bank of England, Eurostat, ONS, EIA
- Trading Economics, Investing.com, CNBC, Yahoo Finance, Washington Post, Kiplinger
- GlobalCapital, IFR (DCM/primary market coverage)
- Company investor relations (Cisco, Teledyne/Varex)

Data collected automatically via web search on 12 August 2026. Several primary sources (GlobalCapital, FRED, Convex, MarketScreener, TradingEconomics direct-fetch) were partly inaccessible this session; figures marked n/a where no reliable source was found, and ranges shown where sources disagreed. Verify before making any decision.